A valuation allowance has been established for certain deferred tax assets related to the impairment of investments.

Accounting for Uncertainty in Income Taxes

During fiscal 2011 and 2010, our aggregate changes in our total gross amount of unrecognized tax benefits are summarized as follows (in thousands):

	2011	2010
Beginning balance	$ 156,925	$ 218,040
Gross increases in unrecognized tax benefits – prior year tax positions	11,901	9,580
Gross decreases in unrecognized tax benefits – prior year tax positions	(4,154)	(7,104)
Gross increases in unrecognized tax benefits – current year tax positions	32,420	15,108
Settlements with taxing authorities	(29,101)	(70,484)
Lapse of statute of limitations	(3,825)	(7,896)
Foreign exchange gains and losses	(559)	(319)
Ending balance	$ 163,607	$ 156,925

As of December 2, 2011, the combined amount of accrued interest and penalties related to tax positions taken on our tax returns and included in non-current income taxes payable was approximately $12.3 million.

We file income tax returns in the U.S. on a federal basis and in many U.S. state and foreign jurisdictions. We are subject to the continual examination of our income tax returns by the IRS and other domestic and foreign tax authorities. Our major tax jurisdictions are the U.S., Ireland and California. For California, Ireland and the U.S., the earliest fiscal years open for examination are 2005, 2006 and 2008, respectively. We regularly assess the likelihood of outcomes resulting from these examinations to determine the adequacy of our provision for income taxes and have reserved for potential adjustments that may result from the current examination. We believe such estimates to be reasonable; however, there can be no assurance that the final determination of any of these examinations will not have an adverse effect on our operating results and financial position.

In August 2011, a Canadian income tax examination covering our fiscal years 2005 through 2008 was completed. Our accrued tax and interest related to these years was approximately $35 million and was previously reported in long-term income taxes payable. We reclassified approximately $17 million to short-term income taxes payable and decreased deferred tax assets by approximately $18 million in conjunction with the aforementioned resolution. The $17 million balance in short-term income taxes payable is partially secured by a letter of credit and is expected to be paid by the first quarter of fiscal 2012.

In October 2010, a U.S. income tax examination covering our fiscal years 2005 through 2007 was completed. Our accrued tax and interest related to these years was $59 million and was previously reported in long-term income taxes payable. We paid $20 million in conjunction with the aforementioned resolution. A net income statement tax benefit in the fourth quarter of fiscal 2010 of $39 million resulted.

The timing of the resolution of income tax examinations is highly uncertain as are the amounts and timing of tax payments that are part of any audit settlement process. These events could cause large fluctuations in the balance sheet classification of current and non-current assets and liabilities. The Company believes that before the end of fiscal 2012, it is reasonably possible that either certain audits will conclude or statutes of limitations on certain income tax examination periods will expire, or both. Given the uncertainties described above, we can only determine a range of estimated potential decreases in underlying unrecognized tax benefits ranging from $0 to approximately $40 million. These amounts would decrease income tax expense under current GAAP related to income taxes.

NOTE 11. RESTRUCTURING

Fiscal 2011 Restructuring Plan

In the fourth quarter of fiscal 2011, in order to better align our resources around our Digital Media and Digital Marketing strategies, we initiated a restructuring plan consisting of reductions of approximately 700 full-time positions worldwide and we recorded restructuring charges of approximately $78.6 million related to ongoing termination benefits for the position eliminated.